

For bitcoin, instead of looking at the “domestically produced goods and services” it will purchase in a period, the innovative investor must look at the internationally produced goods and services it will purchase. The global remittances market—currently dominated by companies that provide the ability for people to send money to one another internationally—is an easily graspable example of a service within which bitcoin could be used.

About US\$500 billion is transmitted annually through the remittances market. Assuming that bitcoin serviced that entire market, then to figure out the value of one bitcoin, one would need to assume its velocity. Say bitcoin’s velocity is 5, similar to that of the U.S. dollar. Then dividing that \$500 billion by a velocity of 5 would yield a total value of bitcoin of \$100 billion. If, at this point, we are at the maximum of 21 million bitcoin, and this is the only use for bitcoin, then that \$100 billion divided by 21 million units would yield a value per bitcoin of \$4,762.

Clearly, this is an overly simplistic example because bitcoin will not service the entire remittances market. Instead, there needs to be an assumption about the percentage of the remittance market that bitcoin will service. Let’s assume it will service 20 percent, and so each bitcoin will need to store \$952 dollars to meet its demand within the remittance market described ($\$952 = \$4,762 \times 20\%$).

Importantly, the use cases for bitcoin are additive, as are the values demanded. For example, the global financial gold market is worth US\$2.4 trillion,¹³ so if bitcoin were to take a